

The Recovery Fund and Consumer Protection

Texas Occupations Code §1102.003 · Enforcement and consumer remedies · For the TREC state exam (25 questions, pass at 75%)

What happens when it goes wrong, and where the rules actually live. A short file, but it carries one number the exam likes and one map you should be able to draw from memory.

The Real Estate Inspection Recovery Fund

- A fund of **last resort**, created under **Occupations Code §1102.003**.
- Pays a qualified claimant who holds an **unpaid civil judgment** against a licensed inspector.
- Maximum **\$12,500** toward a loss claim.
- It protects the **consumer**, not the inspector — the inspector remains liable for the judgment.

The Consumer Protection Notice

- TREC requires the notice to be provided and displayed. It tells the consumer how to file a complaint with the Commission.
- Providing it is part of the conduct rule in file 3 — the two travel together.

Where the law actually lives

- **Texas Occupations Code Chapter 1102** — Real Estate Inspectors. The statute: licence types, the Recovery Fund, financial responsibility.
- **22 TAC Chapter 535, Subchapter R** — TREC's inspector rules.
- **22 TAC 535.220** — Professional Conduct and Ethics (file 3).
- **22 TAC 535.227 to 535.233** — the Standards of Practice (your five Texas SOP files).

Statute versus rule is itself examinable. The Legislature writes the Occupations Code; TREC writes the Administrative Code rules under the authority the Code gives it. If a question names a chapter number, 1102 is the statute and 535 is the rule.

Check Yourself

A client wins a \$40,000 judgment against an inspector who cannot pay. What can the Recovery Fund do?

Pay up to \$12,500 toward the loss. It is a fund of last resort and does not discharge the inspector's liability for the rest.

Which chapter is the statute and which is the rules?

Occupations Code Chapter 1102 is the statute; 22 TAC Chapter 535 is TREC's rules made under it.

Verified against trec.texas.gov and the Texas Administrative Code on 22 August 2026. TREC rules change — re-check any figure before your exam date at trec.texas.gov/rules-and-laws.